

Finance and Financial Systems

Financial Reporting

Financial reporting provides information about a company's financial performance and position. Common financial statements include the income statement, balance sheet, and cash flow statement.

Revenue

Revenue is the income a company earns from selling goods or providing services. Revenue is commonly reported before operating expenses are deducted.

Profit

Profit is the amount remaining after a business subtracts its expenses from its revenue. Net profit accounts for expenses such as operating costs, interest, and taxes.

Cash Flow

Cash flow describes the movement of cash into and out of a business. Operating, investing, and financing activities are the three major categories used in cash flow reporting.

Accounts Receivable

Accounts receivable represents money owed to a company by customers for goods or services that have already been delivered but not yet paid for.